

Choose the Best Answer

1. Which one of the following strategy is different from the other?
- A. Diversification
 - B. Retrenchment
 - C. Divestiture
 - D. Liquidation

ANSWER:A

2. Forward integration is an effective strategy in all of the following conditions, except?
- A. If the organization competes in a growing industry
 - B. If Present distributors/retailers have high profit margins
 - C. If present suppliers are expensive and unreliable.
 - D. If going forward help to bring or sustain the company's competitive advantage.

ANSWER:C

3. Which one of the following strategy helps to bring economies of scale for an organization?
- A. Vertical Integration
 - B. Horizontal integration
 - C. Unrelated diversification
 - D. Defensive strategy

ANSWER:B

4. A leather processing company, installed a state of the art waste treatment plant to conserve the environment where it is operating and the surrounding community's wellbeing. Doing so let the company comply with?
- A. Business Ethics
 - B. Corporate Social Responsibility
 - C. Sustainability
 - D. Policy

ANSWER:C

5. While we are controlling strategy, during revision of bases of strategy, if the base during strategy formulation and the base at the time of implementation are significantly different, which one of the following corrective action is most appropriate?
- A. Developing/revising strategy
 - B. Make tactical changes in the implementation
 - C. Let the strategy implementation continue as it was.
 - D. None.

ANSWER:A

6. A type of survey in which data are collected at one point in time from a sample selected to describe some larger population at that time.

- A. Longitudinal
- B. Cohort studies
- C. Cross sectional
- D. *Panel studies*

ANSWER: C

7. In order to take observation as scientific inquiry, it must include the following issues

- A. Serves a formulated research purpose
- B. Is planned systematically
- C. Is recorded systematically and related to more general propositions rather than being represented as reflecting a set *of* interesting curiosities
- D. Is subject to checks or controls on validity and reliability

ANSWER:D

8. One of the following is respondent error

- A. Interviewer cheating
- B. Deliberate Falsification
- C. Sample selection error
- D. Data processing error

ANSWER:B

9. A type of research aims at finding a solution for an immediate problem facing a society or an industrial/business organization is-----

- A. Conceptual research
- B. Fundamental
- C. Action
- D. *Analytical*

ANSWER:C

10. One of the following is not correct about criteria's for good research:

- A. The researcher should report with complete frankness, flaws in procedural design and estimate their effects upon the findings.
- B. The purpose of the research should be clearly defined and common concepts be used.
- C. The research procedure used should be described in sufficient detail to permit another researcher to repeat the research for further advancement.
- D. Experience has less value for Greater confidence in research

ANSWER:D

11. Which of the following is false?

- a. Trade mark used for definite time period
- b. Copy right provides more than life time protection
- c. Patent right deals with product innovation
- d. A single sound can be a trade mark

ANSWER:A

12. _____ refers consumer's estimate of the products overall capacity to satisfy his or her needs:

- a. Transaction
- b. Value
- c. Exchange
- d. Consumer perception

ANSWER:B

13. Compared with marketing research, marketing intelligence:

- a. Usually involves systematic process
- b. It needs more time and resources
- c. It is more quick and efficient
- d. It supplies information about internal marketing environment

ANSWER:C

14. Secondary market is

- A. Market for short term instrument
- B. Always an OTC market
- C. Market in which investors resold their security
- D. Market in which IPO is traded

E. ANSWER:C

15. Which one of the following is incorrect about the concept of cost of capital?

- A. If the rate of return of an investment is more than its cost of capital, the investment will have a positive NPV.
- B. If the investment has a positive NPV, its cost of capital will be more than the internal rate of return.
- C. The cost of capital depends principally on the use of the funds, not the source.
- D. Implementation of capital project with a rate of return more than cost of capital will maximize the wealth of the firm

ANSWER:B

16. Which of the following are factors to be considered in analyzing reasonableness of cost of production, except?

- A. Cost of material inputs
- B. Labor costs
- C. Factory overheads
- D. Sunk costs

ANSWER:D

17. The following aspects of a project study fall under technical analysis **except**

- A. Raw material and supply study
- B. Cost estimates
- C. Choice of Technology
- D. Capacity utilization

ANSWER:B

18. Technical analysis is not mainly concerned with

- A. Ensuring sustainable supply for raw – materials
- B. Determining optimal plant capacity
- C. Determining purchasing power of consumers
- D. Selecting suitable plant location

ANSWER:C

19. Which one of the following statement about job description is true?

- A. It focuses on the qualification of the job applicants
- B. It outlines the tasks and responsibilities of a job
- C. It is required only for managerial positions
- D. It is typically used for performance evaluation

ANSWER:B

20. Which one of the following is the disadvantage of using observation method of collecting job analysis information?

- A. Employees' reactivity
- B. Minimizes biasing the data
- C. provides detail information
- D. Provides firsthand information

ANSWER:A

21. "Respondents may misinterpret the question and provide the wrong information." This statement indicates the disadvantage of method of collecting job analysis information.

- A. Interview
- B. Observation
- C. Questionnaire
- D. Logs

ANSWER:C

22. Which one of the following is the goal of recruitment process?

- A. To on board new employees into the organization
- B. To negotiate job offers with new employees
- C. To conduct interview with job applicant
- D. To attract pool of qualified applicants

ANSWER:D

23. Which one if the purpose of job posting?

- A. Job advertisement
- B. Employee referral
- C. Employment agencies
- D. Campus recruitment

ANSWER:B

24. A company that decides to decentralize its sales procedures is managing what change category?

- a) Technology
- b) People
- c) Competitors
- d) Structure

ANSWER:D

25. The unfreezing step of the change process can be thought of as _____.

- a) Thawing the organization loose from the current status to the new status
- b) Making the move to the new organizational condition
- c) loosening the organization from the old condition and moving it to the new condition
- d) preparing for the needed change

ANSWER:D

26. When grocery stores installed scanners to read the product price, this was an example of managing what change category?

- a) Technology
- b) People
- c) Competitors
- d) Structure

ANSWER:A

27. An individual is likely to resist change because of the following reasons except _____.

- a) uncertainty
- b) increased productivity
- c) concern over personal loss

- d) belief that the change is not in the organization's best interest

ANSWER:B

28. _____ is using direct threats or force on those who resist change.
- a) Negotiation
 - b) Coercion
 - c) Cooptation
 - d) Education and communication

ANSWER:B

29. ____ is a characteristics of quality of information which answers the answer to the question-does the information meet the purpose of the decision making for which it is being collected?
- A. Consistency
 - B. Impartiality
 - C. Validity
 - D. Reliability

ANSWER:C

30. Enterprise applications are designed to support organization-wide process coordination and integration hence which one of the following systems could not be taken as one?
- A. Enterprise resource planning systems,
 - B. supply chain management systems,
 - C. customer relationship management systems
 - D. executive support system

ANSWER:D

31. ____ system address non routine decisions requiring judgment, evaluation, and insight serving ____ level?
- A. TPS serving operational level
 - B. MIS serving management level
 - C. DSS serving strategic level
 - D. ESS serving strategic level

ANSWER:D

32. ____ Is a major use of data warehouse databases and the static data they contain which can be used to analyze and reveal hidden patterns and trends in historical business activity?
- A. Database maintenance
 - B. Database interrogation
 - C. Application Development

D. Data mining

ANSWER:D

33. Data stored in separate files require special programs for output making ad hoc reporting difficult, time-consuming, and costly which is mainly resulted from ____?
- A. Data Redundancy
 - B. Lack of Data Integration
 - C. Data Dependence
 - D. Consistency

ANSWER:B

34. The process of identifying other organizations that are best at some facets of your operations and then modelling your organization after them is known as:
- A. Patent infringement
 - B. Continuous improvement
 - C. Benchmarking
 - D. Reverse Re-engineering

ANSWER:C

35. A quality tool which claims 80% of quality problems result from only 20% of the causes is

best described by:

- A. Cause – Effect diagram
- B. Check Sheet
- C. Process flow chart
- D. Pareto Analysis

ANSWER:D

36. Which of the following pairs mismatch?
- A. DMAIC – Six sigma
 - B. Poka-Yoke – Quality at source
 - C. Quality circles – process than functional based.
 - D. Kaizen – continuous improvement

ANSWER:C

37. SMADL, a mobile apparatus manufacturer to remain competitive in the market place, it attempted to investigate if any feature or component part can be substituted with cheaper components without compromising quality. This action of Huawei can best be described by:

- A. Design standardization
- B. Design simplification
- C. Value Analysis (engineering)
- D. Design for manufacturing

ANSWER:C

38. Assume a given product passes through the following phases and the capacity of each stage and other information is as depicted below. Phase 1(200 units)->Phase 2 (150 units)->Phase 3(175 units)->Actual output(120 units). Efficiency of the system is

A. 85%

B. 68%

C. C.
60%

D. D. 80%

ANSWER:D

39. If the primal problem has n constraints and m variables then the number of constraints in the dual problem is _____

A) mn

B) n

C) m/n

D) m

ANSWER:D

40. The solution to a transportation problem with m -sources and n -destinations is feasible if the numbers of allocations are _____.

A) $m+n$

B) $m+n-1$

C) $m-n$

D) mn

ANSWER:B

41. The coefficient of slack\surplus variables in the objective function are always assumed to be ____.

A) 1

B) M

C) $-M$

D) 0

ANSWER:D

42. Maximization problem is said to be optimal when:

A) Decision variable has largest value

B) Objective function has the smallest possible value

C) When $C_j - Z_j$ value is less than or equal to zero

D) When all values of $C_j - Z_j$ are positive

ANSWER:C

43. The number of time estimates involved in Program Evaluation Review Technique (PERT) and Critical Path Method (CPM) problem respectively are _____.
- A) 3 and 1
 - B) 1 and 3
 - C) 2 and 1
 - D) 4 and 2

ANSWER:A

44. Which one of the following is not the characteristic of binomial probability distribution?
- A. The probability of success and probability of failure are the same for each trial
 - B. The number of trials is fixed
 - C. The trials are independent
 - D. The trials are dependent

ANSWER:D

45. Which one of the following statement is false regarding normal probability distribution?
- A. It is specified by its mean and standard deviation
 - B. The mean & standard deviation of standard normal distribution are 2 and 1 respectively
 - C. It is bell shaped and has a single peak at the center of the distribution
 - D. It is symmetrical about the mean

ANSWER:B

46. **Gender and state of birth** are examples of which type of data?
- A. Discrete
 - B. Continuous
 - C. **Categorical**
 - D. Ordinal

ANSWER:C

47. Over the past 5 years, the return on stock A has averaged 10% with standard deviation of 3%. The return on stock B has averaged 4 % with standard deviation of 1%. Which of the following statement is true?
- A. Stock A has smaller relative variation than stock B
 - B. Stock B has smaller relative variation than stock A
 - C. Both stocks exhibit the same relative variation
 - D. Unable to tell with the given information

ANSWER:B

48. From the following which one is qualitative variable?

- A. The number courses that students take at Arsi university
- B. Weight of learners at Arsi University
- C. Income of some households
- D. Type of automobile people drive

ANSWER:D

49. It is a product development process stage which is used to categorize business ideas:

- a. Concept testing
- b. Idea generation
- c. Idea evaluation
- d. Market testing

ANSWER:C

50. which of the following is not among methods for venture growth strategies?

- a. Acquisition of existing business
- b. Entering into franchising contract
- c. Opening more branches by contracting with agents and distributors
- d. Deciding which pricing techniques to follow for company's products

ANSWER:D

